I would argue that when people sell a stock when it's up 20 percent, it's not because they are afraid of making money, but because they are afraid of losing what they made.

Maybe you are right. They're afraid of losing money. But they are only afraid of losing gains. If the stock is down 20 percent, they are not going to sell it. What they are really afraid of is not being right. That is why they won't sell it when it's down 20 percent—because that would confirm they were wrong.

Recently, my analyst in Texas, who is very good, called me about one of our positions that was up. He said, "We should probably sell some."

"And why?" I asked him.

"Because we should probably lock some profits in."

"And why?" I asked again.

He didn't have a good reason. He wanted to sell to justify his idea and lock in gains on his recommendation. But that is his own world. It has nothing to do with where the stock is going.

We had another position that was initially profitable, but then sold off when all the analysts downgraded the stock three days before the earnings report. I thought they must all know something negative and that we should be selling the stock. My analyst couldn't understand why I would want to sell the stock then—right after it had given back all the gains we had made. I wanted to get out because I thought the stock was going lower, and it did. The decision had nothing to do with where we bought the stock or what the current price was.

What personal characteristics do you believe you have that allowed you to succeed in this business?

The willingness to take losses and understand that I may not be right.

Do you use objectives on your trades?

I have points where I will reevaluate, but it's a moving target. Also, I try not to sell on the way up; I try to sell on the way down.

So, if you buy a stock at 40 that you think would be fully priced at 80 . . .